

KEY TERMINOLOGY

ECONOMY



- Money
- Demand for Money
- Currency
- Legal Tender
- Monetary Base

MODULE - 16

- Fiat Money
- Money Supply
- Coins
- Notes
- CDR & RDR

KEY TERMINOLOGY IN ECONOMY

BARTER EXCHANGES



- Economic exchanges without the mediation of money
- Double coincidence of wants is the mandatory thing for barter system.
- It is highly improbable to find the persons with double coincidence of wants and hence some medium of exchange for a smooth transaction is necessary, i.e., money.

KEY TERMINOLOGY IN ECONOMY

MONEY



Learning Space

1. Medium of exchange
2. Unit of account
3. Store of value



Learning Space

What is money?

Medium of
Exchange



Unit of
Account



Store of
Value



KEY TERMINOLOGY IN ECONOMY

MEDIUM OF EXCHANGE



A UNIT OF ACCOUNT



Rs. 5,000



Rs. 2

STORE OF VALUE



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INFLATION ... PURCHASING POWER



- If prices of commodities increase, the value of money will decrease.
- The point to note here is, a unit of money can purchase less of any commodity.
- It is known as deterioration in the purchasing power of money.

Most Important ...

- Money is most liquid of all assets.
- It is universally acceptable.
- It can be exchanged for other commodities

KEY TERMINOLOGY IN ECONOMY

LIQUIDITY PREFERENCE



- Instead of holding the cash, if we put the money in a fixed deposit, we can earn interest on that money.
- One has to decide about the advantage of liquidity and disadvantage of foregone interest.

Demand for money balance refers to liquidity preference

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DEMAND FOR MONEY

1 TRANSACTION MOTIVE



- The requirement of money for transaction purposes depends on the total volume of transactions in the economy over the given period of time.
- Normally, the transaction demand for money is a fraction of total volume of transactions.
- Each rupee changes hands number of times during one year.
- The number of times a unit of money changes hands is called the velocity of circulation of money.
- Hence a relationship can be obtained between aggregate transaction demand for money in an economy and nominal GDP.

KEY TERMINOLOGY IN ECONOMY

DEMAND FOR MONEY

1

TRANSACTION MOTIVE

1



2



3



KEY TERMINOLOGY IN ECONOMY

DEMAND FOR MONEY

1 TRANSACTION MOTIVE

Velocity of money

1



2



3



The rate at which money is exchanged from one transaction to another is
Velocity of Money.

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TOTAL VOLUME OF TRANSACTIONS



The total value of annual transactions in an economy includes transactions in all intermediate goods and services and is much greater than the nominal GDP

TRANSACTION DEMAND



The transaction demand is directly related to nominal GDP and price level.

NOMINAL GDP AND PRICE LEVEL

PRIMARY



SECONDARY



TERTIARY



However, there exists a stable, positive relationship between value of transactions and the nominal GDP.

KEY TERMINOLOGY IN ECONOMY



DEMAND FOR MONEY



2 SPECULATIVE DEMAND

- There is speculative demand depending on the speculation of future price movements.
- If the market rate of interest is abysmally low and, if people expect it to rise in the future, there will be a tendency to hold cash.
- Similarly, if the cost of real estate is too high and people expect them to fall in the near future, then there is every possibility that people will hold the wealth in money balance.
- If at all any additional wealth under these circumstances is injected, then it will increase money balances without increasing the demand for bonds / other assets. This situation is known as a liquidity trap.



State Bank of India



***Speculative demand is inversely related to the market rate of interest.
Speculative demand is demand for money as a store of wealth.***

KEY TERMINOLOGY IN ECONOMY

1



2



KEY TERMINOLOGY IN ECONOMY

CURRENCY DEPOSIT RATIO

1



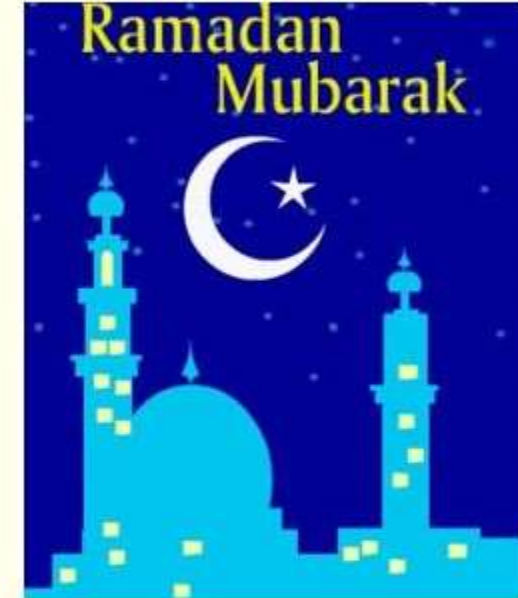
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$$\text{CDR} = \frac{\text{Money held by the public in currency}}{\text{Demand deposits in banks}}$$

$$\text{CDR} = \frac{\text{CU}}{\text{DD}}$$

KEY TERMINOLOGY IN ECONOMY



- During festivals, CDR will increase
- It is behavioral parameter

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RESERVE DEPOSIT RATIO

1 Vault cash in banks



2 Deposits of commercial banks with RBI



RDR is the proportion of the total deposits commercial banks keep as reserves

KEY TERMINOLOGY IN ECONOMY

SAMPLE BALANCE SHEET OF SBI



ASSETS

(In Rs. Cr)

RESERVES

- Vault cash ... 10
- Deposits with RBI ... 4

CREDITS / INVESTMENTS

- Loans ... 50
- Investments ... 36

LIABILITIES

(In Rs. Cr)

Deposits ... 100

Learning Space

KEY TERMINOLOGY IN ECONOMY

SAMPLE BALANCE SHEET OF RBI

ASSETS

(In Rs. Cr)

▪ Gold	...	5
▪ Foreign Exchange	...	10
▪ Govt. Securities (loan to Gol)	...	81
▪ Loan to Commercial Banks		4

MONETARY BASE (SOURCES) ... 100

LIABILITIES

(In Rs. Cr)

▪ Currency held by public	...	75
▪ Vault cash held by Commercial banks	...	9
▪ Deposits of commercial banks with RBI	...	9
▪ Treasury deposits of Gol	...	6

MONETARY BASE (USES) ... 100

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HIGH POWERED MONEY

OR

MONETARY BASE



1



2



3



4



सत्यमेव जयते



KEY TERMINOLOGY IN ECONOMY

CURRENCY

COINS



NOTES



KEY TERMINOLOGY IN ECONOMY

LEGAL TENDER

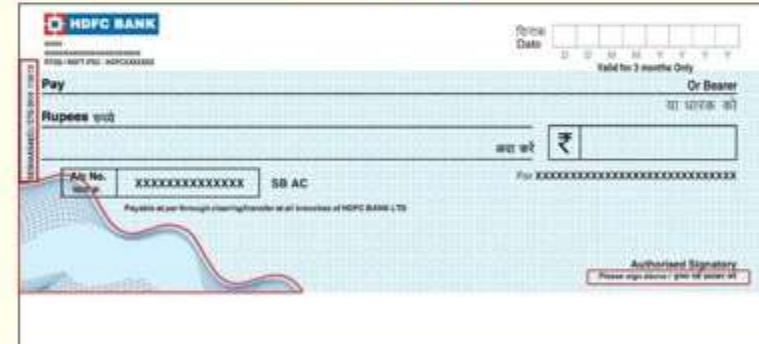


- Money issued by monetary authority or the government cannot be refused by anyone.

Note



Cheque



Cheques can be refused by anyone. Hence, demand deposits of banks are not legal tenders.

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CURRENCY NOTES ... RBI PROMISE



The notes are guaranteed by the Central Government.



RBI PROMISE

- The promise to the bearer of the note is given by the Governor, Reserve Bank of India.
- That means, the promise of Reserve Bank of India Governor on each currency note indicates that RBI is responsible for giving the person purchasing power equal to the value printed on the note.



सत्यमेव जयते



Currency notes are bearer instruments

KEY TERMINOLOGY IN ECONOMY

CASE - 1



1 kg Toor Dal



CASE - 2



1/2 kg Toor Dal

FIAT MONEY



- RBI promises only value printed on the note for its purchasing power.
- If we take Rs. 100 to the market, we may get 1 kg of dal or 1/2 kg of dal depending on the market conditions.
- RBI gives assurance for the acceptance of the notes as legal tender.
- They do not have intrinsic value like a gold or silver coin.

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MONEY SUPPLY



- The modern economy consists of **currency notes and coins** issued by the **monetary authority** of the country.
- **Currency notes in India are issued by the RBI**, which is the monetary authority.
- Coins are issued by the Government of India.
- Apart from currency notes and coins, the balance in savings as well as current account deposits held by the public in commercial banks is also considered money.
- Cheques drawn on these accounts are used to **settle transactions** and such deposits are called demand deposits.

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A SNAPSHOT ON NOTES & COINS



ABOUT COINS



- 1** All the coins and Re. 1 note comes under **Indian Coinage Act, 2011**.
- 2** In India, at present coins are **legal tender from 50 Paise**.
- 3** 25 Paise coins were demonetised in 2011. As per the Coinage Act, 2011, Central Govt. can mint upto Rs. 1,000 coins.
- 4** Re. 1 notes also comes under the purview of Coinage Act and hence it bears the **signature of Finance Secretary**.
- 5** Coins are minted at **Mumbai, Hyderabad, Noida, Kolkata**.
- 6** There are **3,746 small coin depots** in the country.



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A SNAPSHOT ON NOTES & COINS



ABOUT CURRENCY NOTES

- 1** The issue of currency notes is as per RBI Act, 1934.
- 2** As per this Act, currency notes can be printed upto the denomination of Rs. 10,000.
- 3** These notes are printed at 2 presses owned by BRBNMPL, wholly owned subsidiary of RBI at Mysore and Salboni.
- 4** Similarly, Govt-run Security Printing and Minting Corporation of India Ltd. undertakes printing of currency notes along with other Govt. documents at its presses at Dewas (Madhya Pradesh) and Nasik (Maharashtra).
- 5** RBI's currency management system has 19 issue offices and 4,075 currency chests across the country and 1,965 of these currency chests are managed by SBI.

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BHARATIYA RESERVE BANK
NOTE MUDRAN (P) LTD.



SECURITY PRINTING AND MINTING
CORPORATION OF INDIA LIMITED



सत्यमेव जयते

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A SNAPSHOT ON NOTES & COINS



ABOUT CURRENCY NOTES

- 6** Further currency chests are managed by commercial banks, cooperative banks and regional rural banks on behalf of RBI.
- 7** RBI distributes notes and coins through its 19 issue offices, currency chests and small coin depots.
- 8** ISI Kolkata calculates the demand of currency notes and reports to RBI and RBI takes the final approval of Govt. of India

KEY TERMINOLOGY IN ECONOMY

**MYSORE
SALBONI**

PRINTING PRESSES

**NASIK
DEWAS**



**BHARATIYA RESERVE BANK
NOTE MUDRAN (P) LTD.**

RBI OFFICES



**SECURITY PRINTING AND MINTING
CORPORATION OF INDIA LIMITED**

CURRENCY CHESTS

BANK BRANCHES

PUBLIC



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SINCERE THANKS
FOR VIEWING THIS VIDEO

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